Theme 2: Managing business activities

Overview

In this theme, students explore the finance and operations functions, and investigate external influences on business.

Students will need to build upon the knowledge, skills and understanding developed in Theme 2 in Theme 3, making connections across these two themes in Paper 2, and across Themes 1, 2, 3 and 4 in Paper 3. Teaching approaches to content must reflect this.

Students will need to apply their knowledge and understanding to both familiar and unfamiliar contexts in the assessments and demonstrate an awareness of current business issues.

Content

This theme enables students to develop an understanding of raising and managing finance, and measuring business performance.

The theme outlines the importance of using resources efficiently within a business to ensure that goods or services can be delivered effectively and efficiently, and to a high quality.

Students also consider the external influences that have an impact on businesses, including economic and legal factors.

Students must investigate different types and sizes of organisation in various business sectors and environments, and in local, national and global contexts.

To develop their knowledge, skills and understanding in business, students need to have acquired competence in quantitative skills that are relevant to and applied in the context of this theme
(see *Appendix 3: Quantitative skills*).

For this theme, students will need to be aware of the accounting ratios outlined in *Appendix 4: Accounting ratios*.

2.1 Raising finance

Subject content	What students need to learn:
2.1.1 Internal finance	a) Owner's capital: personal savings b) Retained profit c) Sale of assets
2.1.2 External finance	a) Sources of finance: o family and friends o banks o peer-to-peer funding o business angels o crowd funding o other businesses b) Methods of finance: o loans o share capital o venture capital o overdrafts o leasing o trade credit o grants
2.1.3 Liability	a) Implications of limited and unlimited liability b) Finance appropriate for limited and unlimited liability businesses
2.1.4 Planning	a) Relevance of a business plan in obtaining finance b) Interpretation of a simple cash-flow forecast and calculations based on changes in the cash-flow variables c) Use and limitations of a cash-flow forecast